

China: Credit growth slowed again in April

New aggregate financing (AF) came in significantly below market expectations in April, with outstanding AF growth declining to 7.8% y-o-y from 7.9% in March. Within AF, the primary drags were new RMB loans and government bond issuance, which more than offset the relatively sanguine corporate bond issuance. Outstanding RMB loan growth fell to a fresh historical low of 5.6% in April from 5.7% in March, weighed down by both the household and corporate sectors, with the former particularly weak compared with year earlier levels. New loans in the corporate sector may appear adequate on the surface, as they exceeded year earlier levels, but this was primarily attributable to a substantial volume of bill financing, which is not a genuine indicator of corporate credit demand, in our view. Stripping out this distortion, the headline new RMB loan figure would look even weaker. In addition, new household loans remain particularly concerning, having been persistently soft since the beginning of the year. Government bond issuance was modestly weaker than year earlier levels in April, which was slightly surprising. Looking ahead, we still expect government bond issuance to accelerate in coming months, owing to Beijing's need to support still-weak fixed asset investment, which in turn should help to steady credit expansion.

We expect no policy rate or RRR cuts in 2026

Following *the latest Politburo meeting* held at the end of April, we have completely removed our forecast for any RRR cut or policy rate cut in 2026. Previously, *we had expected* one 50bp RRR cut in Q2 and a 10bp policy rate cut in Q4. The Politburo's assessment of the current state of the economy and its wording on monetary policy, which is consistent with all recent PBoC communications, showed no signs of near-term urgency for monetary easing. Moreover, amid the ongoing double blockade of the Strait of Hormuz and the associated global energy shock, domestic inflation began to *show a notable pick-up* in April. The inflationary pressure has been *further compounded by pronounced price increases in certain imported products* (most notably memory chips). Import growth remained highly elevated at 25.3% y-o-y in April, to which *the price impact of semiconductor imports made a notable contribution*. In the Q1 Monetary Policy Report released earlier this week, the PBoC explicitly warned of the importance of monitoring imported inflationary pressures caused by the ongoing energy shock. As such, we believe the PBoC is likely to keep its RRR and policy rate tools steady this year.

A review of April's credit data

- New aggregate financing totalled RMB621bn in April, far below market expectations (Consensus: RMB1,251bn; Nomura: RMB1,019bn; April 2025: RMB1,160bn), with growth in outstanding AF slowing to 7.8% y-o-y in April, from 7.9% in March, the weakest monthly reading on record.
- New RMB loans in April totalled -RMB10bn, notably below market expectations (Consensus: RMB300bn; Nomura: RMB384bn; April 2025: RMB280bn), the first negative monthly reading since July 2025, with growth in outstanding RMB loans declining to 5.6% y-o-y in April from 5.7% in March, reaching another historical low.
- M2 growth was 8.6% y-o-y in April, up marginally from 8.5% in March, while M1 growth edged down to 5.0% from 5.1%.

New RMB loans posted lowest April reading on record

New RMB loans tumbled to -RMB10bn in April, the lowest April reading on record, weighed on by weakness in both corporate and household sectors. New bill financing surged to a record high, pointing to even weaker loan demand in the corporate sector.

A breakdown of bank loans

New RMB loans to the corporate sector fell markedly to RMB390bn in April from RMB610bn a year earlier, as both new medium- to long-term loans slumped to -RMB410bn from

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RMB250bn, while the new short-term component was at -RMB460bn, largely unchanged from -RMB480bn a year earlier. However, new bill financing surged to a record high of RMB1,243bn in April from RMB834bn a year earlier, suggesting actual corporate loan demand could have been even weaker. Meanwhile, new corporate bond financing under the AF rose to RMB454bn in April from RMB234bn a year earlier, underscoring the possibility of a shift in corporate funding to bonds from loans.

New RMB loans to the household sector fell sharply to -RMB787bn in April from -RMB522bn a year earlier, as both the new short-term and medium- to long-term components turned more negative in April, falling to -RMB446bn and -RMB341bn, respectively, from -RMB402bn and -RMB123bn a year earlier. The persistent weakness in household loan data suggest households are still generally cautious about their borrowing.

New RMB loans to non-bank financial institutions increased slightly to RMB175bn in April from RMB163bn in a year earlier.

New household deposits continued to decelerate

Amid weak household loans, new household deposits fell markedly to -RMB1.9trn in April from -RMB1.4trn a year earlier. Nevertheless, overall new RMB deposits increased to RMB270bn in April from -RMB440bn a year earlier, driven by the government sector and non-bank financial institutions (NBFIs). In detail, with elevated government bond issuance, new fiscal deposits increased to RMB739bn in April from RMB371bn a year earlier. For NBFIs, their new deposits increased to RMB2.5trn in April from RMB1.6trn a year earlier. We reckon the deposit breakdown pattern may reveal a potential modest shift from household deposits to NBFIs, as trillions of households' time deposits are set to mature this year, while lower bank deposit rates are prompting households to seek better returns from investment products offered by NBFIs.

Details of the new AF data

New aggregate financing totalled RMB621bn in April, far below market expectations (Consensus: RMB1,251bn; Nomura: RMB1,019bn; April 2025: RMB1,160bn), with growth in outstanding AF slowing to 7.8% y-o-y in April, from 7.9% in March, the weakest monthly reading on record. The drag came from weak new RMB loans.

A breakdown of new AF

New RMB loans included in AF (excluding loans to financial institutions) dipped to -RMB400bn from RMB88bn a year earlier. Net government bond issuance fell to RMB906bn in April from RMB973bn a year earlier. For other key components, net corporate bond financing totalled RMB454bn in April, above the RMB234bn recorded a year earlier. Net financing from undiscounted bankers' bills totalled -RMB528bn in April, below the -RMB279bn a year earlier. Shadow financing including new trust loans and entrusted loans declined to -RMB41bn in April from -RMB8bn a year earlier.

M2 growth edged up in April

M2 growth edged up to 8.6% y-o-y in April from 8.5% in March, despite a higher base and an increase in fiscal deposits. Fiscal deposits rose by RMB739bn in April, above the RMB371bn increase recorded a year earlier. By contrast, M1 growth edged down to 5.0% y-o-y in April from 5.1% in March.

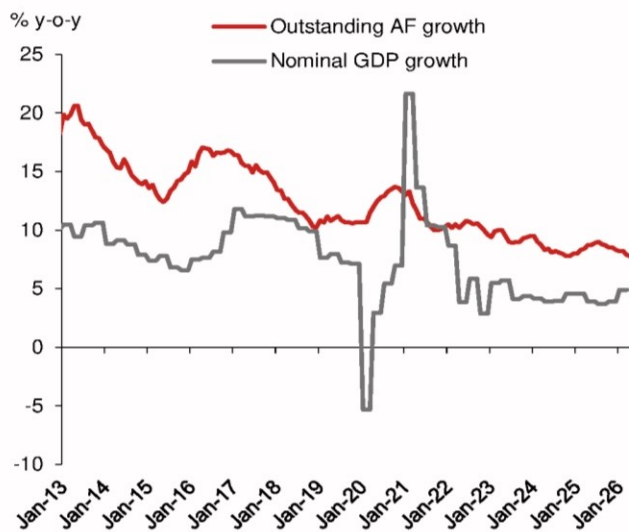
Liquidity conditions eased notably in April, with the daily average DR007 (interbank repo rates between banks only) declining to 1.35% from 1.44% in March, dropping below the PBoC's 7-day reverse repo rate of 1.40%. This is the first time monthly DR007 has been below the policy rate since August 2023. The monthly average yield on the 10-year CGB dropped to 1.78% in April from 1.81% in March. For long-term liquidity management, the PBoC net withdrew RMB800bn from the banking system in April (ORR: -RMB400bn; MLF: -RMB200bn; PSL: -RMB200bn).

Fig. 1: Major money and credit indicators

Major money and credit indicators	Apr 26	Mar 26	Apr 25	2025	2024
New RMB loans (RMBbn)	-10	2,990	280	16,270	18,090
to the corporate sector	390	2,660	610	15,470	14,330
short-term loans	-460	1,480	-480	4,810	2,610
medium- to long-term loans	-410	1,350	250	8,820	10,080
bill financing	1,243	-191	834	1,660	1,570
to the household sector	-787	491	-522	442	2,720
short-term loans	-446	196	-402	-835	473
medium- to long-term loans	-341	295	-123	1,280	2,250
to the non-bank financial institutions	175	-169	163	-110	286
Aggregate financing (AF; RMBbn)	621	5,227	1,160	35,603	32,256
New RMB loans	-400	3,152	88	15,915	17,050
Entrusted loans	-28	-28	0	120	-58
Trust loans	-13	-17	-8	368	398
Undiscounted bankers' acceptance	-528	126	-279	11	-330
Corporate bond	454	391	234	2,392	1,909
Government bond	906	1,166	973	13,837	11,296
M1 growth (% y-o-y)	5.0	5.1	1.5	3.8	1.2
M2 growth (% y-o-y)	8.6	8.5	8.0	8.5	7.3
Outstanding RMB loan growth (% y-o-y)	5.6	5.7	7.2	6.4	7.6
Outstanding AF growth (% y-o-y)	7.8	7.9	8.7	8.3	8.0

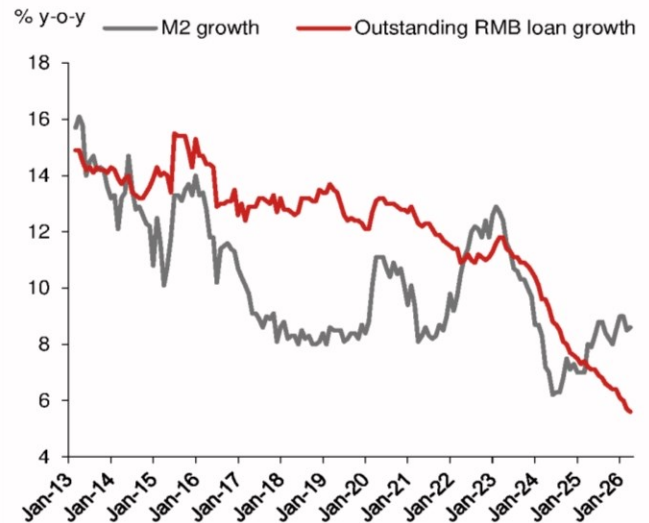
Source: Wind, Nomura Global Economics.

Fig. 2: Outstanding AF growth vs nominal GDP growth



Source: Wind, Nomura Global Economics.

Fig. 3: M2 growth and outstanding RMB loan growth



Source: Wind, Nomura Global Economics.

Appendix A-1

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